



Cambridge Assessment International Education
Cambridge International General Certificate of Secondary Education

ACCOUNTING

0452/12

Paper 1

May/June 2018

MARK SCHEME

Maximum Mark: 120

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

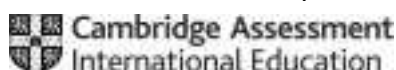
Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

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PUBLISHED**Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptors for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always **whole marks** (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Question	Answer	Marks
1		10
1(a)	B	1
1(b)	A	1
1(c)	A	1
1(d)	A	1
1(e)	D	1
1(f)	C	1
1(g)	D	1
1(h)	B	1
1(i)	C	1
1(j)	B	1

Question	Answer	Marks																														
2(a)	Reduces the number of entries in the ledger Acts as an aid for posting to the ledger Helps to gather and summarise accounting information e.g. total credit purchases Helps in the preparation of control accounts Groups together similar types of transactions Allows work to be divided between several people/train junior accountants To see as a list of transactions/reference purposes Accept other valid points. Any 2 reasons – 1 mark each	Max 2																														
2(b)	1 Cash Book	1																														
	2 Purchases returns journal	1																														
	3 General journal or journa	1																														
2(c)	<table><tr><td></td><td>Account(s) debited</td><td>\$</td><td>Account(s) credited</td><td>\$</td></tr><tr><td>1</td><td>Cash</td><td>220</td><td>Sales</td><td>220</td></tr><tr><td>2</td><td>Jane</td><td>440 (1)</td><td>Purchases returns</td><td>440 (1)</td></tr><tr><td>3</td><td>Motor vehicles Motor vehicle expenses</td><td>12 100 (1) 300 (1)</td><td>Speedy Motors Can have 2 entries here which add up to 12 400</td><td>12 400 (1)</td></tr><tr><td>4</td><td>Bank Discount allowed</td><td>392 (1) 8 (1)</td><td>Tan</td><td>400 (1)</td></tr><tr><td>5</td><td>Drawings</td><td>120 (1)</td><td>Purchases</td><td>120 (1)</td></tr></table>		Account(s) debited	\$	Account(s) credited	\$	1	Cash	220	Sales	220	2	Jane	440 (1)	Purchases returns	440 (1)	3	Motor vehicles Motor vehicle expenses	12 100 (1) 300 (1)	Speedy Motors Can have 2 entries here which add up to 12 400	12 400 (1)	4	Bank Discount allowed	392 (1) 8 (1)	Tan	400 (1)	5	Drawings	120 (1)	Purchases	120 (1)	10
	Account(s) debited	\$	Account(s) credited	\$																												
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4	Bank Discount allowed	392 (1) 8 (1)	Tan	400 (1)																												
5	Drawings	120 (1)	Purchases	120 (1)																												
2(d)	(838) + 220 (1) + 392 (1) = 226 overdrawn/Cr or / (226) (1)	3																														
2(e)(i)	Sales ledger or trade receivables ledger	1																														

Question	Answer	Marks
2(e)(ii)	General or nominal ledger	1

Question	Answer	Marks																																																
3(a)	Kumu Purchase ledger control account <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td>2018</td><td></td><td></td><td>2017</td><td></td><td></td></tr><tr><td>Apr 30</td><td>Discount received (1)</td><td>330</td><td>May 1</td><td>Balance b/d (1)</td><td>19 800</td></tr><tr><td></td><td>Bank (2) CF (1) OF</td><td>177 862</td><td>2018</td><td></td><td></td></tr><tr><td></td><td>Contra sales ledger (1)</td><td>400</td><td>Apr 30</td><td>Interest charged (1)</td><td>122</td></tr><tr><td></td><td>Balance c/d (1)</td><td>22 200</td><td></td><td>Credit purchases (1)</td><td>180 870</td></tr><tr><td></td><td></td><td><u>200 792</u></td><td></td><td></td><td><u>200 792</u></td></tr><tr><td></td><td></td><td></td><td>May 1</td><td>Balance b/d</td><td>22 200</td></tr></table>	Date	Details	\$	Date	Details	\$	2018			2017			Apr 30	Discount received (1)	330	May 1	Balance b/d (1)	19 800		Bank (2) CF (1) OF	177 862	2018				Contra sales ledger (1)	400	Apr 30	Interest charged (1)	122		Balance c/d (1)	22 200		Credit purchases (1)	180 870			<u>200 792</u>			<u>200 792</u>				May 1	Balance b/d	22 200	8
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3(b)	$\frac{\text{Trade payables}}{\text{Credit purchases}} \times 365$	1																																																
3(c)	$\frac{22\,200}{180\,870} \times 365 \Big\} (1) = 45 \text{ days } (1)$	2																																																

Question	Answer	Marks
3(d)	Not satisfied (1) OF The payment period is longer than the standard terms allowed (1) OF	2
3(e)	An unsatisfactory payment period might make it difficult to obtain credit in the future Might get a poor credit rating/reputation Could affect the ability to make purchases from chosen suppliers If unable to make purchases may not be able to satisfy own customers May be charged interest for late payment Can't take advantage of cash discounts/discount received May refuse to supply Accept other valid points. Max 2, 1 mark per point	Max 2
3(f)	$\frac{92\,250}{205\,000} \times 100$ (1) = 45% (1)	2
3(g)	(\$205 000 + \$35 000) (1) – (26 400 + 180 870) (1) = \$32 730 (1) OF If answer = \$59 130 (2) Accept alternative calculations	3
3(h)	$\frac{\text{Cost of sales}}{\text{Average inventory}}$	1
3(i)	$\frac{205\,000}{(32\,730 \text{ OF} + 35\,000) \div 2}$ (1) OF = 6.05 times (1) OF	2

Question	Answer	Marks
4(a)	An accrual is an amount owing (1) for an expense incurred in the current (1) financial period. It will be included in the statement of financial position as a current liability (1). Accrued income is an amount earned (1) which will be received in the next (1) financial period. It will be included in the statement of financial position as a current asset (1).	6
4(b)	$(4 + 6 + 2) (1) \times \\$20 (1) = \\$240 (1)$ Accept alternative calculations	3
4(c)	$\$20\,200 - \$240 (1) \text{ OF} = \$19\,960 (1) \text{ OF}$	2
4(d)	Chandra has received income in advance which he has not yet earned It is a liability to Chandra as he owes the learners Chandra has prepaid income at the year-end Chandra has received other income Application of accruals (matching) principle/application of prudence/advance payments must be deducted from actual income Accept other valid points. Any 2 comments × 1 mark each	2

Question	Answer	Marks																																								
4(e)	Statement of revised profit for the year ended 31 January 2018 <table><tr><th></th><th>No Effect</th><th>Increase \$</th><th>Decrease \$</th><th>\$</th></tr><tr><td>Draft profit</td><td></td><td></td><td></td><td>8 760</td></tr><tr><td>Error 1</td><td></td><td>100 (1)</td><td></td><td></td></tr><tr><td>Error 2</td><td></td><td></td><td>600 (1)</td><td></td></tr><tr><td>Error 3</td><td></td><td>89 (1)</td><td></td><td></td></tr><tr><td>Error 4</td><td>✓ (1)</td><td></td><td></td><td></td></tr><tr><td></td><td></td><td>189</td><td>600</td><td>(411)</td></tr><tr><td>Corrected profit</td><td></td><td></td><td></td><td>8 349 (2) CF (1) OF</td></tr></table>		No Effect	Increase \$	Decrease \$	\$	Draft profit				8 760	Error 1		100 (1)			Error 2			600 (1)		Error 3		89 (1)			Error 4	✓ (1)						189	600	(411)	Corrected profit				8 349 (2) CF (1) OF	6
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4(f)	Business entity (1) Owner’s transactions should be kept separate from those of the business (1)	2																																								

Question	Answer	Marks
4(g)	Chandra is a sole trader, LQ is a limited company Different capital structure Different size, economies of scale Chandra is a new business, LQ is established The financial statements of Chandra will be for only one year, which will not show trends The financial statements may be for a year which is not typical The businesses may have different accounting policies/methods The businesses may have different operating policies The businesses may have different year ends The financial statements do not show non-monetary factors It may not be possible to obtain all the information needed to make comparisons Accept other valid points 1 mark per point, maximum 2	2

Question	Answer	Marks																																																						
5(a)	WB Sports Club Subscriptions account <table><tr><th>Date 2018</th><th>Details</th><th>\$</th><th>Date 2017</th><th>Details</th><th>\$</th></tr><tr><td>Mar 31</td><td>Income and expenditure (1)</td><td>5 000</td><td>Apr 1</td><td>Balance b/d (1)</td><td>120</td></tr><tr><td></td><td></td><td></td><td>Mar 31</td><td>Bank/cash (1)</td><td>4 740</td></tr><tr><td></td><td></td><td></td><td></td><td>Balance c/d (1)</td><td>140</td></tr><tr><td></td><td></td><td><u>5 000</u></td><td></td><td></td><td><u>5 000</u></td></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>140</td><td></td><td></td><td></td></tr></table> + 1 dates	Date 2018	Details	\$	Date 2017	Details	\$	Mar 31	Income and expenditure (1)	5 000	Apr 1	Balance b/d (1)	120				Mar 31	Bank/cash (1)	4 740					Balance c/d (1)	140			<u>5 000</u>			<u>5 000</u>	Apr 1	Balance b/d	140				5																		
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5(b)	WB Sports Club Receipts and Payments Account for the year ended 31 March 2018 <table><tr><th>Date 2017</th><th>Details</th><th>\$</th><th>Date 2018</th><th>Details</th><th>\$</th></tr><tr><td>Apr 1</td><td>Balance b/d (1)</td><td>960</td><td>Mar 31</td><td>Rent (1)</td><td>2 000</td></tr><tr><td>2018</td><td></td><td></td><td></td><td>Competition prizes (1)</td><td>220</td></tr><tr><td>Mar</td><td>Subscriptions (1)</td><td>4 740</td><td></td><td>General expenses (1)</td><td>682</td></tr><tr><td>31</td><td>Competition entry fees (1)</td><td>900</td><td></td><td>Insurance (1)</td><td>430</td></tr><tr><td></td><td>Donations (1)</td><td>350</td><td></td><td>Sports equipment (1)</td><td>2 760</td></tr><tr><td></td><td></td><td></td><td></td><td>Balance c/d</td><td>858</td></tr><tr><td></td><td></td><td><u>6 950</u></td><td></td><td></td><td><u>6 950</u></td></tr><tr><td>Apr 1</td><td>Balance b/d (1) OF</td><td>858</td><td></td><td></td><td></td></tr></table>	Date 2017	Details	\$	Date 2018	Details	\$	Apr 1	Balance b/d (1)	960	Mar 31	Rent (1)	2 000	2018				Competition prizes (1)	220	Mar	Subscriptions (1)	4 740		General expenses (1)	682	31	Competition entry fees (1)	900		Insurance (1)	430		Donations (1)	350		Sports equipment (1)	2 760					Balance c/d	858			<u>6 950</u>			<u>6 950</u>	Apr 1	Balance b/d (1) OF	858				10
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Question	Answer	Marks																																																								
5(c)	WB Sports Club Statement of Financial Position at 31 March 2018 <table><thead><tr><th></th><th>\$</th><th></th><th>\$</th></tr></thead><tbody><tr><td>Non-current assets</td><td></td><td></td><td></td></tr><tr><td>Sports equipment at valuation</td><td></td><td></td><td>15 760 (1)</td></tr><tr><td>Current assets</td><td></td><td></td><td></td></tr><tr><td>Subscriptions owing</td><td>140 (1)</td><td></td><td></td></tr><tr><td>Other receivables</td><td>500 (1)</td><td></td><td></td></tr><tr><td>Bank</td><td>858 (1) OF</td><td>1 498</td><td></td></tr><tr><td>Total assets</td><td></td><td>17 258</td><td></td></tr><tr><td>Accumulated fund</td><td></td><td></td><td></td></tr><tr><td>Opening balance</td><td>15 563</td><td></td><td></td></tr><tr><td>Surplus for the year</td><td>1 568 (1)</td><td>17 131 (1)</td><td></td></tr><tr><td>Current liabilities</td><td></td><td></td><td></td></tr><tr><td>Other payables</td><td></td><td>127 (1)</td><td></td></tr><tr><td></td><td></td><td>17 258</td><td></td></tr></tbody></table>		\$		\$	Non-current assets				Sports equipment at valuation			15 760 (1)	Current assets				Subscriptions owing	140 (1)			Other receivables	500 (1)			Bank	858 (1) OF	1 498		Total assets		17 258		Accumulated fund				Opening balance	15 563			Surplus for the year	1 568 (1)	17 131 (1)		Current liabilities				Other payables		127 (1)				17 258		7
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5(d)	It is the total of all the surpluses (1) made by the club less all the deficits (1) since the start of the club	2																																																								

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6(a)	<table><tr><td>Assets</td><td>\$</td><td>\$</td><td></td></tr><tr><td>Equipment</td><td>(18 000 – 3 600)</td><td>14 400</td><td>(1)</td></tr><tr><td>Motor vehicle</td><td></td><td>5 500</td><td>(1)</td></tr><tr><td>Inventory</td><td></td><td>2 934</td><td rowspan="2">} (1)</td></tr><tr><td>Other receivables</td><td></td><td>120</td></tr><tr><td>Trade receivables</td><td>(2 042 – 100)</td><td>1 942</td><td>(1)</td></tr><tr><td>Bank</td><td></td><td>209</td><td>(1)</td></tr><tr><td></td><td></td><td><u>25 105</u></td><td></td></tr><tr><td>Liabilities</td><td></td><td></td><td></td></tr><tr><td>Trade payables</td><td>1 495</td><td rowspan="2">} (1)</td><td rowspan="2"></td></tr><tr><td>Other payables</td><td>98</td></tr><tr><td></td><td></td><td><u>1 553</u></td><td></td></tr><tr><td>Capital at 31 December 2017</td><td></td><td><u>23 552</u></td><td>(1) OF</td></tr></table>	Assets	\$	\$		Equipment	(18 000 – 3 600)	14 400	(1)	Motor vehicle		5 500	(1)	Inventory		2 934	} (1)	Other receivables		120	Trade receivables	(2 042 – 100)	1 942	(1)	Bank		209	(1)			<u>25 105</u>		Liabilities				Trade payables	1 495	} (1)		Other payables	98			<u>1 553</u>		Capital at 31 December 2017		<u>23 552</u>	(1) OF	7																	
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6(b)	<table><tr><td></td><td>\$</td><td></td></tr><tr><td>Opening capital</td><td>20 300</td><td>(1)</td></tr><tr><td>Add: Capital introduced</td><td><u>5 500</u></td><td>(1)</td></tr><tr><td></td><td>25 800</td><td></td></tr><tr><td>Less: Drawings</td><td><u>(2 700)</u></td><td>(1)</td></tr><tr><td></td><td>23 100</td><td></td></tr><tr><td>Less: closing capital</td><td><u>(23 552)</u></td><td>(1) OF</td></tr><tr><td>Profit for the year</td><td>452</td><td>(1) OF</td></tr></table> Alternative presentation <table><tr><td>Date</td><td>Details</td><td>\$</td><td>Date</td><td>Details</td><td>\$</td></tr><tr><td>2017</td><td></td><td></td><td>2017</td><td></td><td></td></tr><tr><td>Dec 31</td><td>Drawings</td><td>(1)</td><td>Jan 1</td><td>Balance b/d</td><td>(1)</td></tr><tr><td></td><td>Balance c/d</td><td>(1) OF</td><td>Dec 31</td><td>Motor vehicle</td><td>(1)</td></tr><tr><td></td><td></td><td>2 700</td><td></td><td>Profit of the year</td><td>(1) OF</td></tr><tr><td></td><td></td><td><u>23 552</u></td><td></td><td></td><td><u>452</u></td></tr><tr><td></td><td></td><td>26 252</td><td></td><td></td><td>26 252</td></tr></table>		\$		Opening capital	20 300	(1)	Add: Capital introduced	<u>5 500</u>	(1)		25 800		Less: Drawings	<u>(2 700)</u>	(1)		23 100		Less: closing capital	<u>(23 552)</u>	(1) OF	Profit for the year	452	(1) OF	Date	Details	\$	Date	Details	\$	2017			2017			Dec 31	Drawings	(1)	Jan 1	Balance b/d	(1)		Balance c/d	(1) OF	Dec 31	Motor vehicle	(1)			2 700		Profit of the year	(1) OF			<u>23 552</u>			<u>452</u>			26 252			26 252	5
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		26 252			26 252																																																															
Accept alternative calculations																																																																				

Question	Answer	Marks
6(c)	It shows the profit earned for each \$100 used in the business Or It shows how efficiently the capital is being employed Profit received as a % of capital employed	1
6(d)	$\frac{\text{Profit (for the year)}}{\text{Capital employed}} \times \frac{100}{1}$	1
6(e)	$\frac{452}{20\,300} \times \frac{100}{1} \text{ (1)} = 2.23\% \text{ (1) OF do need \%}$	2
6(f)	Siegfried started charging depreciation on non-current assets Siegfried wrote off more bad debts this year Increase in other expenses Decrease in other income Accept any valid reason. 1 mark per point, Max 1	1
6(g)	Easier/quicker/used to prepare financial statements/calculate profit Helps to check accuracy/arithmetic errors or detect/locate errors Helps to prevent fraud Easy reference Balances are more easily available More detail available in income statement Easier to calculate accounting ratios/measure performance Cheaper accountancy fees Maintains the principle of duality Accept other valid points 1 mark per point , Max 3	Max 3